

February 13, 2014



✓ The Chief Executive,
Nairobi Securities Exchange Limited,
The Exchange,
Westlands Road,
P.O. Box 43633,
NAIROBI

The Chief Executive,
Uganda Securities Exchange Limited,
Plot 71/73, Kampala Road,
Prism Building, 4th Floor,
P.O. Box 23552,
KAMPALA



The Chief Executive,
Dar es Salaam Stock Exchange,
Golden Jubilee Towers, 14th Floor,
Ohio Street,
P. O. Box 70081,
DAR ES SALAAM

Dear Sirs,

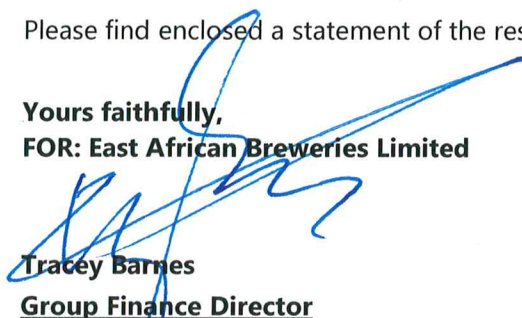
RE: FINANCIAL STATEMENTS – EAST AFRICAN BREWERIES LIMITED

At their Board Meeting held on 13th February 2014, the directors of East African Breweries Limited approved the Group's unaudited trading results for the six months ended 31st December 2013 and an interim dividend of Kshs 1.50 per share.

The register of members will remain closed on 14 March 2014. Interim dividends will be paid on or about 11 April 2014 to the shareholders on the register at the close of business on 14 March 2014 (record date for eligibility of dividend payment).

Please find enclosed a statement of the results as approved.

Yours faithfully,
FOR: East African Breweries Limited


Tracey Barnes
Group Finance Director

*Encl:

Kenya Breweries Ltd | Uganda Breweries Ltd | Serengeti Breweries Ltd | East African Maltings Ltd | Central Glass Industries Ltd | UDV (Kenya) Ltd
International Distillers Uganda Ltd | EABL International

PO Box 30161, 00100 Nairobi, Kenya T + 254 20 864 4000, 856 3701 F + 254 20 856 1090, 856 3054

Directors : C Muchene * (Group Chairman), N Blazquez (Dr.) ** (Group Deputy Chairman), C Ireland ** (Group Managing Director),
T Barnes ** (Group Finance Director), S Moriarty **, E Mwaniki *, A Shonubi ****, M Bomani *****, C Gakonyo *, S Wakhungu-Githuku *, J Karuku *
[***** Tanzanian **** Ugandan ***Nigerian ** British * Kenyan]



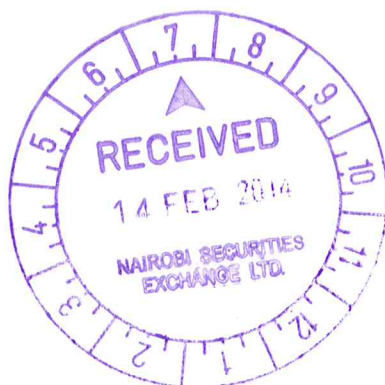
EAST AFRICAN BREWERIES LIMITED
INTERIM FINANCIAL INFORMATION (UNAUDITED)
FOR THE 6 MONTH PERIOD ENDED 31 DECEMBER 2013

Table of contents

Page No

Financial statements:

Consolidated income statement	1
Consolidated statement of other comprehensive income	2
Consolidated statement of financial position	3
Consolidated statement of changes in equity	4 - 5
Consolidated statement of cash flows	6



Consolidated income statement

	6 months ended 31 December	
	2013 Kshs'm	2012 Kshs'm
Revenue	31,858	30,633
Cost of sales	(16,127)	(16,234)
Gross profit	15,731	14,399
Selling and distribution costs	(3,047)	(2,541)
Administrative expenses	(4,507)	(3,564)
Other expenses	(50)	(436)
Operating profit	8,127	7,858
Net finance costs	(2,043)	(2,061)
Profit before income tax	6,084	5,797
Income tax expense	(1,923)	(1,815)
Profit for the period	4,161	3,982
Profit attributable to:		
Equity holders of the Company	3,949	3,755
Non controlling interest	212	227
Profit for the period	4,161	3,982
Earnings per share for profit attributable to the equity holders of the Company		
- Basic (Kshs per share)	4.99	4.75
- Diluted (Kshs per share)	4.99	4.75

Consolidated statement of other comprehensive income

	6 months ended 31 December	
	2013	2012
	Kshs'm	Kshs'm
Profit for the period	4,161	3,982
Other comprehensive income net of tax:		
Items that may be reclassified to profit or loss:		
Currency translation differences	7	(198)
Total comprehensive income for the period	<u>4,168</u>	<u>3,784</u>
Attributable to:		
Equity holders of the company	3,975	3,634
Non controlling interest	193	150
Total comprehensive income for the period	<u>4,168</u>	<u>3,784</u>

Consolidated statement of financial position

	As at	
	31 December 2013 Kshs'm	30 June 2013 Kshs'm
Capital and reserves attributable to the Company's equity holders		
Share capital and reserves	8,113	7,301
Non – controlling interests	338	1,133
Total equity	8,451	8,434
Non-current liabilities		
Long term borrowings	22,668	19,842
Deferred tax liabilities	3,409	3,673
Total non-current liabilities	26,077	23,515
Total equity and non-current liabilities	34,528	31,949
Non-current assets		
Property, plant and equipment	36,911	33,715
Intangible assets – Software	473	424
Intangible assets – Goodwill	3,577	3,577
Intangible assets – Brand	563	563
Prepaid operating lease rentals	11	11
Other investments	10	10
Deferred tax asset	2,219	1,662
	43,764	39,962
Current assets		
Inventories	7,937	7,471
Trade and other receivables	10,749	9,016
Tax recoverable	748	701
Cash and cash equivalents	2,965	1,406
	22,399	18,594
Current Liabilities:		
Trade and other payables	16,732	14,195
Tax payable	218	450
Short term borrowings	8,218	4,951
Bank overdrafts	5,686	6,293
Dividend payable	781	718
	31,635	26,607
Net current liabilities	(9,236)	(8,013)
Net assets	34,528	31,949

Consolidated statement of changes in equity

Year ended 30 June 2013	Share capital	Share premium	Capital reserve	Translation reserves	Retained earnings	Share based payment reserve	Other reserves	Total	Non controlling interest	Total Equity
	Kshs'000	Kshs'000	Kshs'00	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
As at 1 July 2012	1,582	1,691	1,282	284	19,928	67	(18,292)	6,542	2,174	8,716
Comprehensive income										
Profit for the year	-	-	-	-	6,979	-	-	6,979	(34)	6,945
Other comprehensive loss	-	-	-	(96)	-	-	-	(96)	(94)	(190)
Total comprehensive income for the year	-	-	-	(96)	6,979	-	-	6,883	(128)	6,755
Transactions with owners										
Share based payment reserve	-	-	-	-	-	4	-	4	-	4
Dividends:										
- 2012 final paid	-	-	-	-	(4,942)	-	-	(4,942)	(913)	(5,855)
- 2013 interim paid	-	-	-	-	(1,186)	-	-	(1,186)	-	(1,186)
Total transactions with owners	-	-	-	-	(6,128)	4	-	(6,124)	(913)	(7,037)
At 30 June 2013	1,582	1,691	1,282	188	20,779	71	(18,292)	7,301	1,133	8,434

Consolidated statement of changes in equity (continued)

6 Months Period ended 31 December 2013	Share capital	Share premium	Capital reserve	Translation reserves	Retained earnings	Share based payment reserve	Other reserves	Total	Non controlling interest	Total Equity
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
As at 1 July 2013	1,582	1,691	1,282	188	20,779	71	(18,292)	7,301	1,133	8,434
Comprehensive income										
Profit for the period	-	-	-	-	3,949	-	-	3,949	212	4,161
Other comprehensive income/(loss)	-	-	-	26	-	-	-	26	(19)	7
Total comprehensive income for the period	-	-	-	26	3,949	-	-	3,975	193	4,168
Transactions with owners										
Dividends:										
- 2013 final paid	-	-	-	-	(3,163)	-	-	(3,163)	(988)	(4,151)
Total transactions with owners	-	-	-	-	(3,163)	-	-	(3,163)	(988)	(4,151)
At 31 December 2013	1,582	1,691	1,282	214	21,565	71	(18,292)	8,113	338	8,451

Consolidated statement of cash flows

	6 months ended 31 December	
	2013 Kshs'm	2012 Kshs'm
Cash generated from operating activities	4,804	7,424
Investing activities:		
Purchase of property, plant and equipment	(4,535)	(3,000)
Proceeds from disposal of leasehold land and buildings	8	-
Proceeds from disposal of investment	20	-
Net cash used in investing activities	(4,507)	(3,000)
Financing activities:		
Dividends paid to shareholders	(3,100)	(4,942)
Dividends paid to minority interest	(988)	-
Proceeds from Borrowings	6,150	3,750
Repayment of Borrowings	(193)	(124)
Net cash generated from/(used in) financing activities	1,869	(1,316)
Increase in cash and cash equivalents	2,166	3,108
Movement in cash and cash equivalents		
Cash and cash equivalents at 1 July	(4,887)	(194)
Increase during the period	2,166	3,108
Cash and cash equivalents at 31 December	(2,721)	2,914